INSURANCE AND PENSIONS COMMISSION

SECOND HALF REPORT

FOR

FUNERAL ASSURERS

FOR THE HALF YEAR ENDED 30 JUNE 2014

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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q-Growth	Quarterly
NOTE:	**ALL MONETARY FIGURES ARE IN USD**

3.0 Industry Overview

The report is based on 9 funeral assurance companies

The funeral industry wrote $19million in net premiums (June 2013:$16million). Total costs grew by 10% to close the first half of the year at $14million from $13million reported in the same period last year. Players reported $5million in operating profit (June 2013: $4million).The expense and combined ratios were reportedly 49% and 73% respectively (June 2013: 60% and 79%).

As at the current reporting period, total assets were $45million from $36million reported as at 30June 2013.The industry must comply with prescribed assets requirements as the compliance rate is very low as reflected by only three players being compliant.

Various corrective measures will be instituted by IPEC in consultation with affected players. Table 1, below summarizes the aggregated financial indicators of the funeral assurance industry.

Table 1: Summary of Financial Performance by the Funeral Assurance Industry

Financial Aspect	Funeral Assurers		
	June 2013	June 2014	Growth
Gross Premiums Written($000)	16,114	18,939	18%
Net Premiums Written ($000)	16,098	18,927	18%
Retention Ratio	100%	100%	-
Total Gross Claims ($000)	2,990	4,611	54%
Total Net Claims ($000)	2,990	4,611	54%
Management Expenses ($000)	8,180	7,985	(2%)
Commissions ($000)	1,440	1,282	(11%)
Total Costs($000)	12,583	13,878	10%
Technical Profit($000)	3,515	5,049	44%
Expense Ratio	60%	49%	11%
Claims Ratio	19%	24%	5%
Combined Ratio	79%	73%	6%
Total Assets ($000)	35,885	44,504	24%
Total Liabilities ($000)	15,420	18,092	17%
Free Capital($000)	20,465	26,412	29%
Capital to liability Ratio	133%	146%	13%
Prescribed Assets ($000)	129	14	(89%)
Prescribed Asset Ratio (%)	-	-	--

4.0 Update on Number of Operational Institutions

This report is based on 9 players.

4.0 Business Written

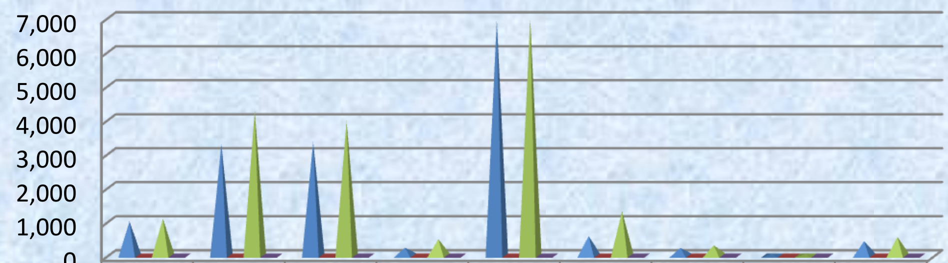
For the half year ended 30 June 2013, players wrote $19million in Net Written Premiums (June 2013:$16million), an 18% growth (See Table 2, below).

Table 2: Premium Distribution by Company for the half year ended 30 June 2014

Name of Funeral Company	NPW ($000)		
	Jun-13	Jun-14	Growth
Cell	1,008	1, 086	8%
Doves	3,275	4,244	30%
First Funeral	3,349	3,960	18%
Foundation	234	482	106%
Moonlight	6,941	6,948	0%
Passion	579	1,310	126%
Ruvimbo	225	303	35%
Sunset	61	47	-23%
Vineyard	426	547	28%
Total	**16,098**	**18,927**	18%

For the first half of this year,80% of net business was written by the three biggest players(June 2013:84%). Players are encouraged to continue building on this growth momentum by way of product innovation and embracing new concepts particularly micro-insurance whose framework is under preparation. Should growth continue, penetration levels which are currently at 3% would increase.(See Figure 1 below).

Figure1:Market Share by Net Premium Written for the half year ended 30 June 2014



	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard
Jun,2013	1,008	3,275	3,349	234	6,941	579	225	61	426
%share	6%	20%	21%	1%	43%	4%	1%	0%	3%
Jun,2014	1,086	4,244	3,960	482	6,948	1,310	303	47	547
%share	6%	22%	21%	3%	37%	7%	2%	0%	3%

5.0 Business Composition

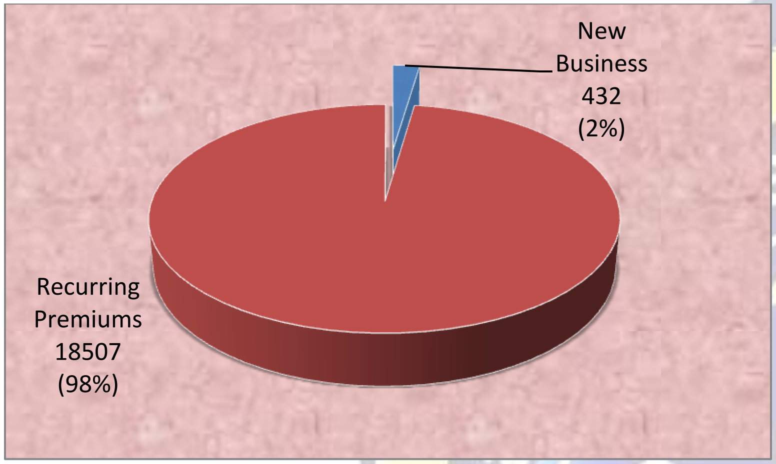
For the half year ended 30 June 2014, the industry wrote $19 million in gross premiums mainly emanating from recurring business - 98% or $18,5million from $15.7million or 98% was written in the comparative period in 2013 with the balance being new business.

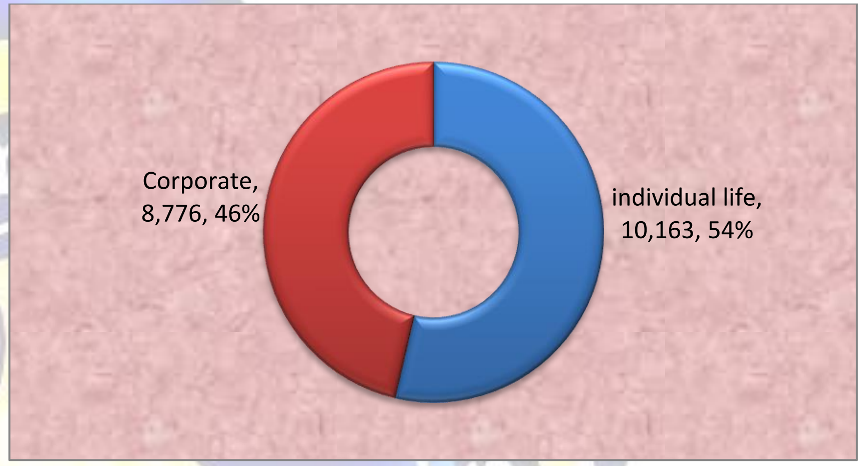
The ratio of Individual lines to corporate business was 54%:46% reflecting portfolio balance thereby limiting concentration risk on one income stream .It also shows that the economic setup is weighing heavily on informal sector indicating that players should innovate products which are in line with this reality (See Table 3,below).

Table 3: Business Composition by Company for the half year ended 30 June 2014

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business Premiums			Recurring Premiums			New Business			Recurring Premiums					
	Jun 2013	Jun 2014	Growth (%)	Jun 2013	Jun 2014	Growth (%)	Jun 2013	Jun 2014	Growth (%)	Jun 2013	Jun 2014	Growth (%)	Jun 2013	Jun 2014	Growth (%)
Cell	9	6	-33%	24	279	1063%	-	-	-	975	813	-17%	**1,008**	1,098	9%
Doves	56	17	-70%	3,244	706	-78%	-	58	-	-	3,463	-	**3,300**	4,244	29%
First Funeral	91	67	-26%	3,258	3,893	19%	-	-	-	-	-	-	**3,349**	3,960	18%
Foundation	8	6	-25%	226	476	111%	-	-	-	-	-	-	**234**	482	106%
Moonlight	0	0	-	4,609	3,535	-23%	151	177	17%	2,181	3,236	48%	**6,941**	6,948	0%
Passion	12	33	175%	115	265	130%	11	58	427%	441	954	116%	**579**	1,310	126%
Ruvimbo	-		-	225	303	35%	-	-	-	-	-	-	**225**	303	35%
Sunset	-		-	62	47	-24%	-	-	-	-	-	-	**62**	47	-24%
Vineyard	32	2	-94%	384	528	38%	-	8	-	-	9	-	**416**	547	31%
TOTAL	**208**	**131**	-37%	12,147	**10,032**	-17%	162	**301**	**86**	3,597	**8,475**	136%	**16,114**	**18,939**	18%

Figure 2: Business Composition by Company for the half year ended 30 June 2014(000)





7.0 Not-taken Up policies and Lapsed Policies

For the quarter ended 30 June 2014, funeral assurers reported not-taken up policies amounting to $127 000.Given reported gross premiums of $19 million, this signifies a negligible ratio of less than 1% of written business.

Players also reported largely satisfactory lapse ratios signifying fairly good market conduct practices (See Table 4,below).

Table 4: Not-taken Up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums(000)	Individual (%)	Group Bus (%)
Cell	0	0	0
Doves	0	-	-
First Funeral	33	2	
Foundation	1	118	
Moonlight	93	0	10%
Passion	0	0	-
Ruvimbo	0	0	0
Sunset	0	0	0
Vineyard	0	0	0
Total	**127**		

8.0 Claims Aged Analysis

For the current review date , the majority of the industry reported current claims .However individual players with long outstanding claims will be contacted to justify their status quo .Unreasonable delays in claims settlement is unfair to the policyholder and poses serious reputation and legal risks to the whole industry(See Table 5 below).

Table5: Claims Aged Analysis

Name of Company	Cell	Doves	Foundation	First funeral	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	23	-	0	3	1-	2	0	-	-	29
31-60days(000)	3	-	0	8	-		-	-	-	11
61-90days (000)	4-	-	0	6	-		-	-	-	10
91-120days (000)	-	-	-	6	-		-	-	-	6
<121 days (000)	-	-	23	171	-		-	5	-	199
Reinsurance (000)	-	-	-		-		-	-	-	-
Total	30	-	23	194	1	2	0	5	-	255

9.0 Debtor Aged Analysis

For the half year ended 30 June 2014, the industry's uncollected premiums amounted to $2million or 13% of gross premium written. Resultantly, the average premium collection rate was 87% which is considered commendable given the current liquidity challenges facing the economy (See Table 8, below).

Table 6 : Debtors Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
30days (000)	4	-	-	5	324	167	2	0	127	629
60days(000)		-	-	4	171	148		-	90	**413**
90days (000)	3	-	240	5	150	114		-	28	**540**
120days (000)		-	-	5	235	103		-	34	**377**
<121 days (000)	-	-	-	12	181	162		-	93	**448**
Total (000)	**7**	**-**	**240**	**31**	**1,061**	**694**	**2**	**0**	**372**	**2,407**

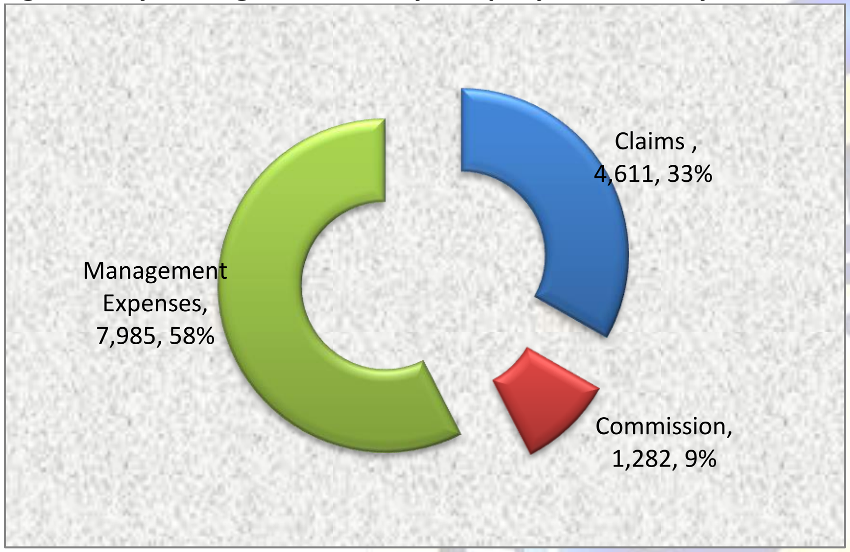
10.0 Earnings

The key earnings indicators for the funeral assurance industry are as shown in Table 7 and figure 3 below.

Table 7: Key Earnings Indicators By Company for the half year ended 30 June 2014

Co. Name	NPW(000)		Claims (000)			Commission(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio		
	Jun-13	Jun-14	Jun-13	Jun-14	Growth	Jun-13	Jun-14	Growth	Jun-13	Jun-14	Growth	Jun-13	Jun-14	Growth	Jun-13	Jun-14	Growth
Cell	1,008	1,086	22	23	5%	7	8	14%	430	632	47%	459	663	44%	46%	61%	15%
Doves	3,275	4,244	993	2,046	106%	198	340	72%	561	1,420	153%	1,752	3,806	117%	53%	90%	38%
First Funeral	3,349	3,960	939	1,138	21%	612	543	-11%	967	978	1%	2,518	2659	6%	75%	67%	8%
Foundation	234	482	32	57	78%	22	32	45%	155	362	134%	209	451	116%	89%	94%	5%
Moonlight	6,941	6,948	770	1,062	38%	533	310	-42%	5,499	3,867	-30%	6,802	5,239	-23%	98%	75%	(23%)
Passion	579	1,310	80	150	88%	21	21	0%	180	264	47%	260	435	67%	45%	33%	(12%)
Ruvimbo	225	303	65	25	-62%	6	6	0%	146	151	3%	217	182	-16%	96%	60%	36%
Sunset	61	47	1	1	0%	4	3	-25%	28	38	36%	33	42	27%	**54%**	89%	**35%**
Vineyard	426	547	88	109	24%	31	19	-39%	214	273	28%	333	401	20%	**78%**	73%	**5%**
Total	16,098	**18,927**	**2,990**	**4,611**	54%	**1,440**	**1,282**	-11%	**8,180**	**7,985**	-2%	12,583	13,878	10%	**79%**	73%	**6%**

Figure3: Key Earnings Indicators By Company for the half year ended 30 June 2014



For the period under review, management expenses amounted to $8million or 58% of total costs (June 2013:$8million or 65%); claims-$5million or 33 %(June 2013: $7million or 54%) whilst total commission was 9% or $1million (June 2013:11% or $1million).

The industry recorded a combined ratio of 73% (June 2013:79%).Given the near-absence of meaningful investment returns, players must manage their costs effectively and efficiently to promote viability and profitability.

11. Asset Quality

The total asset base of the funeral industry as at 30 June 2014,was as illustrated in table 8 and figure 4 below.

Table 8: Funeral industry Asset Base as at 30 June 2014

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Jun13	Jun14	%	Jun13	Jun14	%	Jun 13	Jun 14	%	Jun13	Jun13	%	Jun 13	June 14	%	Jun13	Jun14	%	Jun 13	Jun 14	%
Cell	231	221	-4	18	17	6	179	510	**185**	502	359	-28	283	205	-28	80	-	-	1,293	1,312	1%
Doves	2,565	3,534	38	82	103	26	128	103	**-20**	126	159	26%	9,222	11,331	23	19	7	(63)	12,142	15,237	25%
First Funeral	776	1,295	67	11	12	9	0	-	**-**	26	70	169	3,139	4,625	47	10	-	-	3,962	6,002	51
Foundation	1,170	1,395	19	0	-		87	65	**-25**	34	24	-29	405	589	45	10	7	(30)	1,706	2,080	22
Moonlight	11,043	9,350	-15	0	-	-	0	-	-	0	151	-	1,041	3,551	241	-	-	-	12,083	13,052	8
Passion	0	639		0	-	-	0	50	-	51	59	16	1,112	654	-41	-	-	-	1,163	1,402	21
Ruvimbo	703	1,069	52	0	-	-	0	-	-	7	12	71	955	790	-17	-	-	-	1,665	1,871	12
Sunset	978	1,695	73	0		-	0			15		-100	62	21	-66	-	-	-	1,055	1,716	63
Vineyard	416	1,162	179	2	3	50	11	52	373	37	37	0	340	578	70	10	-	-	816	1,832	125
Total	**17,882**	**20,360**	14	**113**	**135**	19	**405**	**780**	**93**	**798**	**871**	9	**16,559**	**22,344**	35	**129**	**14**	(89)	**35,885**	**44,504**	24

Figure 4: Funeral industry Asset Base as at 30 June 2014

	Property	Equities	Money Market	Cash	Other	Prescribed
Jun,2013	17,882	113	405	798	16,559	129
%share	50%	0%	1%	2%	46%	0%
Jun,2014	20,360	135	780	871	22,344	14
%share	46%	0%	2%	2%	50%	0%

As at 30 June 2013, the players reported their assets in properties-46% or $20million (June 2013:50% or $18million}, equities-$0.135million or 0.003% (June 2013:0% or$0.113million), money market-$0.78million or 2 %(June 2013:1% or $0.405million), cash assets-$0.871million or 2% (June 2013:$0.798m or 2%) and other assets-$22million or 50 %(June 2013:46% or $17million).

The industry must continue to draw prudential practices from investment guidelines in line with Circular No.1 of 2013 and actuarial valuations. In addition the Commission will verify and ask players to justify asset values submitted with a view to determine if indeed they satisfy the new minimum capital levels.

12. Capitalization and Solvency

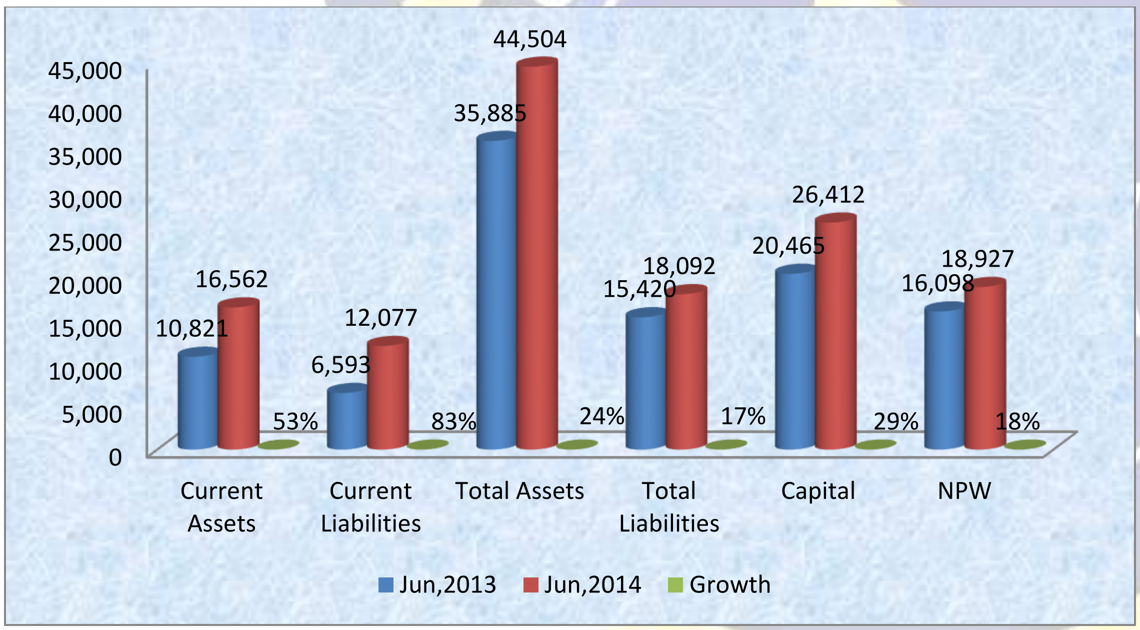
New capital requirements, as stipulated by Statutory Instrument 21 of 2013, took effect on 30 June 2014.The Commission will engage players who failed to attain $1 500 000 capital requirement in order to enforce compliance (See table 9 and figure 5 below).

Players reported capital to liability and liquid ratios of 146% and 137% respectively suggesting reduced susceptibility of the industry to operational risk.

Table 9: Levels of Capitalization, Liquidity and Solvency Indicators

Co. Name	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			NPW		Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)			*Capital to NPW Ratio (%)*		
	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	Jun-13	Jun-14	%	Jun-13	Jun-14	%	Jun-13	Jun-14	%
Cell	829	961	16	303	1,279	322	1,293	1,312	629	1,279	103	664	*33*	-95	1,008	1,086	106	3%	103	274	75%	199	66	3	63
Doves	3,232	5,433	68	774	1,854	140	12,142	15,237	1,147	2,207	92	10,995	13,030	19	3,275	4,244	959	590%	-369	418	293	125	336	307	29
F/Funeral	2,689	4,707	75	299	455	52	3,962	6,002	462	946	105	3,500	5,056	44	3,349	3,960	758	534%	224	899	1035	135	105	128	23
F/ndation	418	499	19	342	479	40	1,706	2,080	1,263	1,760	39	443	*320*	-28	234	482	35	18%	17	122	104%	-18	189	66	123
Moonlight	2,272	3,686	62	4,288	7,025	64	12,083	13,052	10,531	10,748	2	1,552	2,304	48	6,941	6,948	15	21%	6	53	52%	-1	22	33	10%
Passion	666	541	-19	68	355	422	1,163	1,402	398	355	-11	765	*1,047*	37	579	1,310	192	295%	103	979	152%	-827	132	80	52
Ruvimbo	313	202	-35	353	340	(4)	1,665	1,871	526	340	-35	1,139	*1,531*	34	225	303	217	450%	80	87	59%	-26	506	505	-17
Sunset	51	2	-96	98	124	27	1,055	1,716	198	125	-37	857	1,591	86	61	47	433	1283	850	52	2%	50	140	3385	3245
Vineyard	351	531	51	68	166	144	816	1,832	266	332	25	550	1,500	173	426	547	207	452	245	516	320	-196	129	138	9
Total	**10,821**	**16,562**	53	**6,593**	**12,077**	83	**35,885**	**44,504**	**15,420**	**18,092**	17	**20,465**	**26,412**	29	16,098	**18,927**	133	146	13	164	137	28	127	140	13

Figure 5: Levels of Capitalization, Liquidity and Solvency Indicators



13.0 Summery Of Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 10: Issued Circulars and Statutory Instruments for the Half year ended 30 June 2013

Details	Subject Matter	Issue date
Circular No. 2 of 2014	Commutations of Pensions	11 April 2014
Circular No.1 of 2014	Guidance on Calculation of Capital and other Related Issues for Short Term Insurers and Reinsurers	5 June 2014

Conclusion

Reported figures are indicative of a growing industry which is beneficial to all key stakeholders. The Commission encourages or otherwise requires players to adhere to cited corrective or proactive measures to ensure not only compliance but also to embrace sound risk management principles.